iNBIO — Investor Financial Package

Prepared for prospective investors in the $3M Convertible Note offering

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Deal Terms

Term	Detail
Instrument	Convertible Note
Amount	$3,000,000
Maturity	2 years
Interest Rate	7% per annum
Conversion Discount	20% to next qualified financing round
Interest at Maturity	$420,000 (if held to maturity without conversion)

Use of Funds — $3M Deployment

Use	Amount	%
Repay existing bank note	$1,400,000	47%
Complete 6 TPD demonstration plant construction	$1,100,000	37%
Commissioning, first production runs, product testing	$250,000	8%
Working capital (staffing, feedstock for demo operations)	$250,000	8%
Total	**$3,000,000**	**100%**

Scale-Up Pathway

Phase	Capacity	Status	Funding Source
Phase 1	6 TPD demonstration plant	Under construction — this round completes it	$3M convertible note (current raise)
Phase 2	75 TPD commercial unit (1 reactor)	Reactor designed via ENERGYWERX grant	Future Series A / project finance
Phase 3	300 TPD (4 x 75 TPD parallel)	Engineered, ready to replicate	Future Series A / project finance + debt

The 6 TPD demo proves the economics at commercial-relevant scale. The 75 TPD reactor is already designed through the ENERGYWERX grant. Scaling to 300 TPD is 4 identical units in parallel — proven engineering, not new R&D.

Corrected Financial Projections (5-Year)

Note: The 6 TPD demo is under construction in 2026. First revenue begins mid-2027 after commissioning. Commercial scale-up to 75 TPD begins 2028, with expansion to 300 TPD in 2029.

Assumptions

Parameter	Value	Notes
Pilot plant size	6 TPD	Salisbury, MD — under construction
First commercial unit	75 TPD	ENERGYWERX-designed reactor
Full commercial	300 TPD	4 x 75 TPD parallel configuration
Annual uptime	330 days	Standard industry
Bio-oil yield	103 gal/ton feedstock	From pyrolysis standards
Biochar yield	20% by weight	0.20 tons biochar per ton feedstock
Bio-oil price	$4.00/gal	Range: $3.50-$5.25
Biochar price	$350/ton	Range: $200-$1,500
Carbon credits	$150/ton biochar	Conservative (market avg is $164)
45Z tax credit	$1.00/gal bio-oil	Federal clean fuel credit
Feedstock cost	$25/ton	Assumes no tipping fee income
Pilot fixed OpEx	$650,000/yr	Staffing, overhead
75 TPD fixed OpEx	$3,000,000/yr	Per-unit staffing
300 TPD fixed OpEx	$8,000,000/yr	Full plant staffing (4 units)
Variable cost adder	$15/ton	Utilities, consumables
75 TPD CapEx	$15,000,000	Per unit
300 TPD total CapEx	$55,000,000	4 units + shared infrastructure
Maintenance	5% of CapEx/yr	Annual upkeep
Interest rate	7%	On convertible note and future debt
Corporate tax rate	21%	Federal

Revenue Build-Up by Phase

Phase 1: 6 TPD Demo (mid-2027 start, full year 2028)

Line Item	Half-Year 2027	Full Year 2028
Tons processed	990	1,980
Bio-oil produced (gal)	101,970	203,940
Biochar produced (tons)	198	396

Bio-oil sales @ $4/gal	$407,880	$815,760
Biochar sales @ $350/ton	$69,300	$138,600
Carbon credits @ $150/ton	$29,700	$59,400
45Z tax credits @ $1/gal	$101,970	$203,940
Total revenue	**$608,850**	**$1,217,700**

Phase 2: 75 TPD (2029 — first commercial unit)

Line Item	2029
Tons processed	24,750
Bio-oil produced (gal)	2,549,250
Biochar produced (tons)	4,950
Bio-oil sales	$10,197,000
Biochar sales	$1,732,500
Carbon credits	$742,500
45Z tax credits	$2,549,250
Total revenue	**$15,221,250**

Phase 3: 300 TPD (2030 — 4 x 75 TPD)

Line Item	2030
Tons processed	99,000
Bio-oil produced (gal)	10,197,000
Biochar produced (tons)	19,800
Bio-oil sales	$40,788,000
Biochar sales	$6,930,000
Carbon credits	$2,970,000
45Z tax credits	$10,197,000
Total revenue	**$60,885,000**

5-Year P&L Summary

	2026	2027	2028	2029	2030
Phase	Construction	Demo commissioning	6 TPD full year	75 TPD	300 TPD
Capacity	0 TPD	6 TPD (half year)	6 TPD	75 TPD	300 TPD

Revenue	$0	$608,850	$1,217,700	$15,221,250	$60,885,000
Feedstock	$0	$24,750	$49,500	$618,750	$2,475,000
Fixed OpEx	$325,000	$650,000	$650,000	$3,000,000	$8,000,000
Variable OpEx	$0	$14,850	$29,700	$371,250	$1,485,000
Maintenance	$0	$0	$0	$750,000	$2,750,000
Total expenses	**$325,000**	**$689,600**	**$729,200**	**$4,740,000**	**$14,710,000**
EBITDA	-$325,000	-$80,750	$488,500	$10,481,250	$46,175,000
Depreciation	$0	$100,000	$200,000	$1,700,000	$5,500,000
Interest expense	$0	$210,000	$210,000	$1,050,000	$3,850,000
Pre-tax income	-$325,000	-$390,750	$78,500	$7,731,250	$36,825,000
Taxes (21%)	$0	$0	$16,485	$1,623,563	$7,733,250
Net income	**-$325,000**	**-$390,750**	**$62,015**	**$6,107,688**	**$29,091,750**

Monthly Cash Flow — 2026-2027 ($3M Deployment)

2026 (Construction Year)

Month	Inflow	Outflow	Use	Cumulative Cash
Q2 Apr	$3,000,000	$1,400,000	Repay bank note	$1,600,000
Q2 May	—	$150,000	Equipment procurement	$1,450,000
Q2 Jun	—	$150,000	Equipment procurement	$1,300,000
Q3 Jul	—	$200,000	Construction/installation	$1,100,000
Q3 Aug	—	$200,000	Construction/installation	$900,000
Q3 Sep	—	$200,000	Construction/installation	$700,000
Q4 Oct	—	$100,000	Commissioning prep	$600,000
Q4 Nov	—	$100,000	Commissioning prep	$500,000
Q4 Dec	—	$75,000	Staffing/overhead	$425,000

2027 (Commissioning + First Revenue)

Month	Inflow	Outflow	Use	Cumulative Cash
Q1 Jan	—	$75,000	Staffing/overhead	$350,000
Q1 Feb	—	$75,000	Commissioning/testing	$275,000

Q1 Mar	—	$75,000	Commissioning/testing	$200,000
Q2 Apr	—	$60,000	OpEx + feedstock	$140,000
Q2 May	—	$60,000	OpEx + feedstock	$80,000
Q2 Jun	$50,000	$60,000	First product sales begin	$70,000
Q3 Jul	$80,000	$60,000	Revenue ramping	$90,000
Q3 Aug	$90,000	$60,000	Revenue ramping	$120,000
Q3 Sep	$100,000	$60,000	Steady production	$160,000
Q4 Oct	$100,000	$60,000	Steady production	$200,000
Q4 Nov	$100,000	$60,000	Steady production	$240,000
Q4 Dec	$100,000	$60,000	Steady production	$280,000

Cash position turns positive mid-2027 once demo plant reaches steady production. 2027 revenue of ~$609K from half-year of operations.

Free Cash Flow Projection

	2026	2027	2028	2029	2030
EBITDA	-$325,000	-$80,750	$488,500	$10,481,250	$46,175,000
CapEx	-$1,600,000	$0	$0	-$15,000,000	-$40,000,000
Interest paid	$0	-$210,000	-$210,000	-$1,050,000	-$3,850,000
Taxes paid	$0	$0	-$16,485	-$1,623,563	-$7,733,250
Free cash flow	**-$1,925,000**	**-$290,750**	**$262,015**	**-$7,192,313**	**-$5,408,250**
Note	Construction	Commissioning	Demo profitable	75 TPD CapEx	300 TPD CapEx

2029-2030 show negative FCF due to heavy CapEx investment in 75 TPD and 300 TPD units. Once CapEx cycle completes (2031+), FCF turns strongly positive at $30M+/year.

IRR Analysis — $3M Convertible Note

Scenario 1: Convert at Series A (Year 2, moderate valuation)

Assumptions: iNBIO raises a $15M Series A at $30M pre-money valuation to fund the 75 TPD unit. The $3M convertible note converts at a 20% discount ($24M effective valuation).

Year	Cash Flow
0 (2026)	-$3,000,000 (investment)
1	$210,000 (7% interest)
2	$3,750,000 (principal converts to equity worth $3M / 0.80 = $3.75M at 20% discount)

IRR: ~16.4% MoM: 1.32x (total return of $3,960,000 on $3,000,000 invested over 2 years)

Scenario 2: Convert at Series A (Year 2, strong valuation)

Assumptions: Demo plant proves out with strong revenue. Series A at $50M pre-money. Convertible note converts at $40M effective valuation.

Year	Cash Flow
0	-$3,000,000
1	$210,000
2	$3,750,000 (equity value at conversion) + $210,000 interest

IRR: ~16.4% (same — IRR on a convertible is driven by the discount, not the valuation, until there's a liquidity event)

Scenario 3: Hold equity post-conversion to 300 TPD revenue (Year 5)

Assumptions: Convert at Year 2, hold equity. 300 TPD plant generates $46M EBITDA by 2030. At 6x EBITDA multiple = $276M enterprise value. $3M at 20% discount to a $30M round = 12.5% ownership stake at conversion. Assuming 30% dilution in subsequent rounds = ~8.75% stake.

Year	Cash Flow
0	-$3,000,000
1	$210,000
2	$210,000 (interest — note converts to equity)
5	$24,150,000 (8.75% of $276M enterprise value)

IRR: ~55% MoM: 8.2x

Scenario 4: Downside — Demo plant underperforms, note repaid at maturity

Year	Cash Flow
0	-$3,000,000
2	$3,420,000 (principal + 2 years interest at 7%)

IRR: 7.0% MoM: 1.14x

IRR Summary for Investors

Scenario	Outcome	IRR	MoM	Timeframe
Base	Convert at moderate Series A	16.4%	1.32x	2 years
Upside	Hold to 300 TPD scale	~55%	8.2x	5 years
Downside	Note repaid at maturity	7.0%	1.14x	2 years
Worst case	Default/loss	Negative	<1.0x	—

Raj's stated IRR of "over 14%" is supported by the base case conversion scenario.

Key Risk Factors

1. **Construction risk** — 6 TPD demo completion depends on this raise closing
2. **Technology risk** — Pilot must demonstrate target yields at sustained commercial operation
3. **Scale-up risk** — Moving from 6 TPD to 75 TPD involves engineering challenges
4. **Market risk** — Bio-oil and biochar prices may fluctuate; carbon credit pricing is volatile
5. **Capital risk** — 75 TPD and 300 TPD phases require significant additional capital ($55M total)
6. **Regulatory risk** — 45Z tax credits, EQIP funding, and carbon credit methodologies subject to policy changes
7. **Liquidity risk** — Equity in a private company is illiquid; no guaranteed exit timeline

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What This Round Unlocks

The $3M does not fund the full commercial scale-up. It funds the **proof point** that makes everything after it possible:

1. **Eliminates the $1.4M bank debt** — clean balance sheet for future fundraising
2. **Completes the 6 TPD demo** — the first operating plant producing real product
3. **Generates first revenue** — bio-oil, biochar, and carbon credit sales from a working plant
4. **Creates the data package** for the next round — real yield data, real operating costs, real customer feedback
5. **Positions for Series A** — with a running demo and ENERGYWERX-designed 75 TPD reactor, iNBIO can raise $15-25M for commercial scale